

The Grain Value Loop

An integrated rice biorefinery model that turns the byproducts India's government already procures — and currently gives away — into edible oil, food-grade derivatives, energy, and exports. Feedstock the state owns; demand the state can contract.

IMPORT SUBSTITUTION

₹21,000 cr

per year, across crops

BRAN GIVEN AWAY
TODAY

₹7,650 cr

in free CMR byproduct

CAPITAL SUBSIDY

35–50%

PMFME · PMKSY ·
PLISFPI

FCI-warehouse-MSPvsMSV · figures verified against DFPD, DGCI&S, MoFPI, real project DPRs

THE PARADOX

India imports what it grows — and gifts the feedstock

The government procures ~550 LMT of rice and ~300 LMT of wheat a year, then hands the milling byproducts to private millers for free and imports the finished derivative.

WHAT THE STATE DOES TODAY

- Procures paddy at MSP, hands it to CMR millers

WHAT THE STATE IMPORTS

- 56% of edible oil (~₹1.65 lakh cr/yr) — while #1 in rice-bran oil

- Millers keep ~180 LMT husk + ~65 LMT bran — the ₹7,650 cr byproduct giveaway
- Sells surplus grain raw (OMSS) at ~2–4% trader margin, often at a loss

- 67 LMT of pulses, vital wheat gluten, specialty starch, Vitamin-E, silica
- The *derivative* — while holding the raw material

World's #1 rice-bran-oil producer, yet imports more than half its cooking oil. The same pattern repeats for gluten, starch, protein, and nutraceuticals across every crop the state procures.

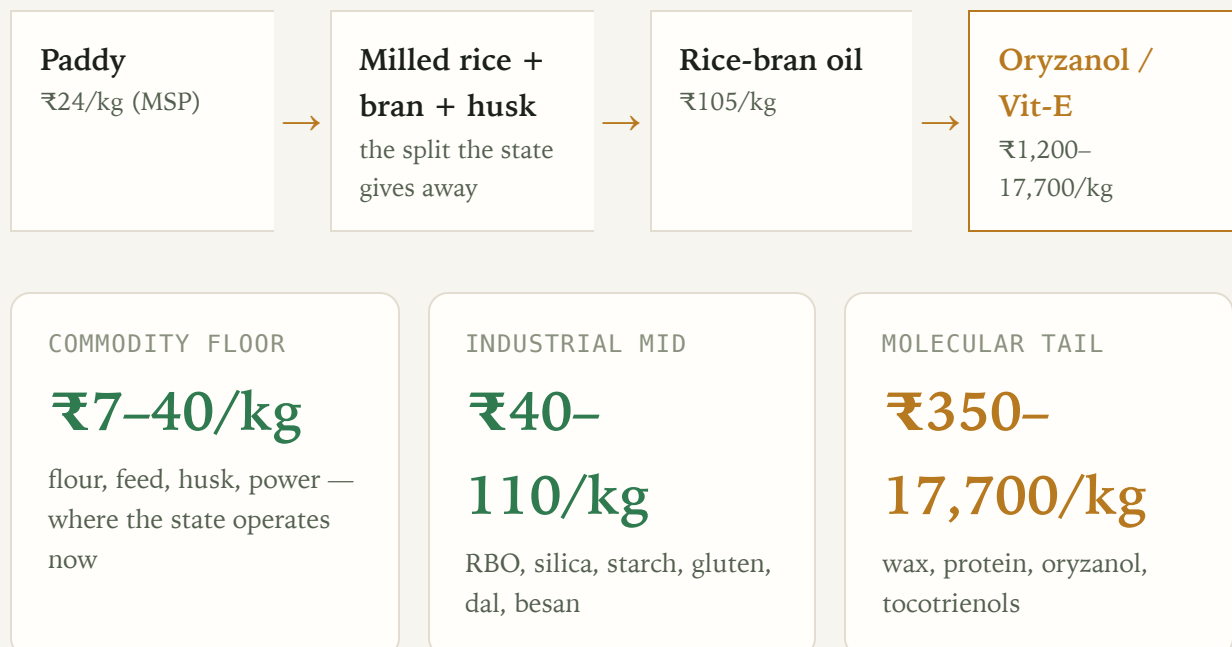
Sources: DFPD Annual Report 2024–25 • DGCIS FY26 • NITI Aayog edible-oil

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THE INSIGHT

Value density rises ~1,000× from grain to derivative

The margin is in the cascade, not the commodity — the sugarcane model (sugar + ethanol + power + CBG) ported to grain.



THE PROJECT

An integrated rice biorefinery — one complex, many streams

A cooperative/PPP-hosted complex, sited in an operational Mega Food Park, that takes government CMR paddy and runs the full cascade instead of milling and selling raw:

- Rice mill Bran stabilisation
- RB0 solvent extraction RB0 refinery
- Oryzanol / wax recovery
- Husk-fired power Husk-ash → silica
- Broken rice → poha/murmura
- Fortified rice kernels DORB → feed

WHY INTEGRATED

- **Husk powers the process**
(already standard mill practice)
— energy self-sufficient
- **DORB feed credit** makes the oil cheap (₹60 vs ₹105/kg)
- One feedstock stream → 8+ revenue lines
- The distillery/mill is the natural aggregation host

Edible oil first (import substitution at ₹105/kg), fuel only from the non-edible residual — India must diverge from the US "distillers-oil-to-biodiesel" model.

Grounded in NCDC cooperative rice-mill DPR + SEA (30 MT existing crush capacity)

RAW MATERIAL · PRICES & SOURCES

Feedstock the state already owns

INPUT	INDICATIVE PRICE	SOURCE / BASIS

Paddy (common)	₹2,369/qtℓ	MSP KMS 2025-26 · govt CMR procurement (~832 LMT)
Rice bran	₹2,000/qtℓ (₹20/kg)	NCDC DPR · to oil extractors; 16–22% oil
Rice husk	₹2,000/MT	NCDC DPR · fuel-grade; ~20% of paddy
Broken rice	₹1,500/qtℓ	NCDC DPR · poha/starch/ethanol feedstock
De-oiled bran (DORB)	₹15/kg (credit)	feed byproduct — the credit that makes RBO viable

AGGREGATION MODEL

PACS / FPO / cooperative societies — *already the paddy-procurement centres* — aggregate paddy + bran. The feedstock chain exists; it is currently dispersed to 100,000+ private mills.

SCALE AVAILABLE TO GOVERNMENT

~832 LMT CMR paddy → ~40 LMT government-touchable bran (41% of national) → ~6.4 LMT RBO at full capture.

Prices: NCDC "Establishment of Rice Mill" DPR (Chhattisgarh) · DFPD MSP · vintage noted

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UNIT ECONOMICS · FROM REAL DPRS

Margin and IRR — ranked, government-DPR-backed

PRODUCT	NET MARGIN	IRR	DPR SOURCE
Poha / murmura	10–15%	<3y payback	NIFTEM-T PMFME ✓
RBO solvent extraction	8–15%	–	IMARC/EIRI
Rice mill (anchor)	8.5–15%	19%	NCDC ✓
Maize wet-milling (starch)	12–20%	22–28%	industry
Dal mill	~5.3%	25–31%	RACP + NIFTEM ✓
Roller flour mill	3–5.5%	20–29%	RACP ✓

Margin $\neq$ return. The staples show thin 3–5% margins but **19–31% IRR** — low capex, fast turnover. The "process, don't sell raw" case rests on return-on-capital, not margin-on-sales.

Sources: NCDC · Rajasthan RACP (Grant Thornton) · NIFTEM–Thanjavur PMFME · IMARC – verified/reported labelled

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SCHEMES · THE FUNDING STACK

35–50% of capital comes from MoFPI

PMFME

35%

credit-linked capital
subsidy, max ₹10 L/unit ·
micro units (RBO, dal,
poha, besan)

PMKSY

35–50%

grants for clusters, cold
chain, agro-processing
(50% NE/difficult) · **the**
integrated complex

PLISFPI

6-yr

incentive on incremental
sales + branding-abroad ·
large branded (RBO
brand, exports)

MEGA FOOD PARK INFRASTRUCTURE

23 operational parks (of 41), ~₹120 cr
each with ~₹50 cr PMKSY grant —
ready common facilities (power, cold
chain, warehousing, effluent) to plug
into, not build.

THE SUBSIDY IS A MARGIN MULTIPLIER

Anchor DPR: ₹80 L cost → ₹16 L
subsidy + ₹52 L loan + ₹12 L own. The
19% project IRR becomes a much higher
return on the ₹12 L actually invested.
Capital-heavy units (RBO, silica, wet-
milling) gain the most from a 35–50%
grant.

Sources: pmfme.mofpi.gov.in · PMKSY FAQs · mofpi.gov.in/PLISFPI · MoFPI 41-MFP list (31.01.2023)

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Demand the government can contract

CAPTIVE · SUREST

- Fortified rice kernels — ₹17,082 cr program to 2028, 100% GoI-funded; ~3.5–4 LMT/yr standing demand
- Fortified atta · Vitamin-E fortificant from own bran

DOMESTIC GROWTH

- RBO — India #1 market, \$1.39 bn; + exports \$104.5 mn
- Poha/murmura (snacks 14.5% CAGR) · besan
- Maize starch \$4.1 bn · wheat gluten

EXPORT-LED

- Basmati ₹50,000 cr (FY25, +15.7%, ₹82/kg)
- Plant protein (14% CAGR) · spices ₹39,994 cr · green silica (Tata ₹775 cr)

The offtake is **contractable, not consumer-dependent**: food-processing supply agreements + fortification mandates + institutional (PDS/ICDS) offtake form a demand backbone independent of the retail shelf — the ethanol-blending-mandate lever, applied to processed grain.

Sources: APEDA FY25 (basmati ₹50k cr) · DFPD FRK program · DGCI&S · industry market reports – verified/reported labelled

THE PRIZE · IMPORT SUBSTITUTION

₹21,000 cr/yr across the crops the state holds

STREAM	IMPORT ₹/T (DGCI&S)	SAVINGS ₹ CR/YR	OFFTAKE
Rice bran oil	97,970	7,544	frying/HoReCa + fortification
Pulses (dal margin)	50,888–74,163	~7,000	dal millers + PDS
Cottonseed oil	98,766	1,975	food processing
Maize starch	37,170	1,115	food/pharma/paper

Husk → silica

86,730

867 tyre/industrial

Protein · gluten · Vit-E ·
lecithin

115k–17.7m

~1,900 processors + export

HIGH-CONFIDENCE
TIERS

₹18–21k cr

oil + pulses + industrial
mid

ON FEEDSTOCK THE
STATE

already

owns

via CMR procurement

THROUGH OFFTAKE IT
CAN

contract

not hope for

Source: consolidated-savings-by-crop · DGCI&S FY26 import unit values ·
illustrative, additive

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A CONCRETE MSV CASE · WHEAT → PASTA

Durum wheat: the fastest-growing value-add India under-grows

The same "import the derivative, hold the feedstock" pattern — in wheat. India is **wheat-surplus** and sells it cheap via OMSS (~₹2,550/qtl), yet:

- Pasta market **\$1.21 bn, growing ~14–16%/yr** — the fastest wheat-product segment
- India is the **world's #2 durum-semolina importer** — pasta needs durum (hard) wheat, which India barely grows (MP's Malwa belt, ~1.5–2 MT)
- DGCI&S: HS-19 (pasta/biscuits/bakery) imports **+15.2%**; HS-11 (gluten/starch)

THE DOUBLE PLAY (DURUM MSV)

- **Procure durum by variety** — a variety-specific MSV that de-risks durum cultivation (the wheat parallel to the oilseed-MSP production lever)
- **Mill semolina → pasta** on OMSS/durum wheat, in a Mega Food Park
- Substitutes **both** the pasta imports AND the durum-wheat imports

+19.2% — the value-added tier's imports are building

- + vital gluten (13,000 t/yr imported) from the same wheat wet-mill

India is a net *exporter* of biscuits (Parle-G, 180 countries) — so the target is the **premium/pasta/durum tier** where imports are growing, not the mass market. Import substitution is already visible: durum-pasta imports fell –25% YoY.

Sources: DGCI&S chapter trade (india-trade-tracker, TIA/PIB-validated) · industry market sizes · report/wheat-value-added-products.md

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THE MODEL · WHY GOVERNMENT-COOPERATIVE-PPP

Ring-fence the commercial arm; contract the offtake

STRUCTURE

- **PACS/FPO** aggregates paddy + bran (already the procurement centre)
- **Private partner** builds + runs RBO extraction, silica, power (the capital + know-how)
- **State** provides VGF/PMKSY grant + a fortified-rice / RBO **offtake guarantee**
- Ring-fenced from MSP/buffer policy — the COFCO lesson, not the STC/Thailand failure

WHY NOT LEAVE IT TO PRIVATE MILLERS

- 100,000 mills do basic CMR — but won't invest in bran stabilisation, RBO, silica, cogen
- The integrated **value-added** mill is the PPP white space (verified: largely untried)
- The offtake guarantee is the revenue backbone — mirrors PEG's silo-hire guarantee

History's warning (verified): STC→PEC→NCEL failed by trading naked; CWC, AMUL, Kendriya Bhandar succeeded by infrastructure / farmer-ownership / ring-fencing. This is an *infrastructure + processing* play, not a trading arm.

ILLUSTRATIVE PILOT

One integrated complex, in an operational food park

ANCHOR: RICE MILL

₹80 L

1 TPH, 19% IRR (NCDC
DPR)

+ RBO EXTRACTION

₹15–40 cr

8–15% margin, the ₹7,544
cr anchor

+ POHA/MURMURA LINE

₹21 L

10–15% margin, <3y
payback

+ HUSK POWER/SILICA

cluster

energy self-sufficiency +
tyre-grade silica

CAPITAL SUBSIDY

35–50%

PMKSY cluster + PMFME
units

OFFTAKE SECURED BY

contract

FRK/PDS + food
processors + fortification

The proof-points already exist as verified DPRs and operational parks. The novelty is **integration + the offtake guarantee** — assembling proven units into one government-anchored complex that captures the cascade instead of gifting it.

All component economics from real project DPRs; integration is the un-built step

WHY IT MATTERS · DOUBLING FARMERS' INCOME

Real farm income is ~a third of the way to doubling

The 2016 goal: double farmers' *real* income by 2022-23. Deflated by CPI-AL (the farm household's own cost basket,

THE LEVER THE GAP NEEDS

MoSPI), the **Real Farm Income Index** reads:



Achieved ~5.7%/yr real vs the 10.4%/yr needed — reaching 200 slips to ~2030.

- Crop income is only **37%** of farm income — price alone can't double it
- The other 63%: wages, livestock, **non-farm/value-addition**
- Cutting *cost* defends real income against inflation the nominal headline hides
- Exactly the byproduct-cascade + processing-margin this project builds

RFII is a monitorable metric: CPI-AL deflator refreshes monthly (MoSPI), income on each SAS/NAFIS survey.

Sources: NABARD NAFIS 2021-22 • NSSO SAS • MoSPI CPIALRL • Dalwai Committee (DFI)

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THE FARM-SIDE LOOP • FUEL CHOICE

Diesel→CNG + residue: the inflation-proof income lever

FUEL SHIFT
(DIESEL→CNG)

+ ₹5,400

/yr per 1.5-ha paddy household • 24% on tractor fuel • +3.3 RFII pts

FULL CBG LOOP
(+RESIDUE)

+ ₹9,750

/yr • residue→CBG + FOM slurry • +5.9 RFII pts • closes 9% of the doubling gap

MILL FUEL CHOICE

**₹1 vs
₹10.45**

husk/CBG per kWh vs grid • ₹2.7-7.9 cr/yr on the mill's EBITDA

The loop closes: crop → residue → CBG → fuels the tractor (24% cheaper, inflation-proof) AND the mill's boiler → slurry to the field. Diesel is a volatile imported input; CBG from the farmer's own residue defends the *real* income the doubling metric measures.

THE ONE-LINE CASE

Stop gifting the byproduct. Contract the demand. Capture the cascade.

India is the world's #1 producer of the raw byproduct and a net importer of the refined derivative — for oil, gluten, starch, protein, and Vitamin-E alike. The feedstock is procured, the subsidy is 35–50%, the parks are built, the DPRs are proven. What's missing is the integrated complex and the offtake guarantee. That is the project.

SAVINGS

₹21k cr/yr

BEST DPR MARGIN

**poha 10–
15%**

BEST DPR IRR

dal 25–31%

Full analysis, data & sources: github.com/herrrickshaw/FCI-warehouse-MSPvsMSV ·
research synthesis, not investment advice